POLICIES AND PROCEDURES OF DALAL & BROACHA STOCK BROKING PVT. LTD.
(REF. PARA 8 OF SEBI CIR. NO. MIRSD/SE/CIR-19/2009 DATED DECEMBER 03, 2009)

MANDATORY

a. Refusal of orders for penny stocks:

Although, the term 'Penny Stock' has not been defined by BSE/ NSE or any stock exchanges, SEBI a penny stock generally refers to a stock which has following mentioned characteristics:

- Has small market capitalization;
- Trades at a price less than its face value;
- Has unsound fundamentals;
- Is illiquid (A list if illiquid securities is jointly released by NSE & BSE from time to time.)
  Dalal & Broacha Stock Broking Pvt. Ltd. recognizes that it is client's privilege to choose shares in which he/she would like to trade. However, Dalal & Broacha Stock Broking Pvt. Ltd. like to have special attention to dealing in "Penny stocks". To this end,
- Dalal & Broacha Stock Broking Pvt. Ltd. may refuse to execute any clients orders in penny stocks without assigning any reason for the same.
- Any large order for purchase or sale of a "Penny stocks" should be referred to Head - Dealing, such orders can be put in the market for execution.
- Clients must ensure that trading in "Penny stock" doesn't result in creation of artificial volume or false or misleading appearance of trading. Further, clients should ensure that trading in "Penny stock" doesn't operate as a device to inflate or depress or cause fluctuations in the price of such stock.
- Clients are expected not to place orders in penny stocks at prices which are substantially different from the prevailing market prices. Any such order is liable to be rejected at the sole discretion of Dalal & Broacha Stock Broking Pvt. Ltd.
- In case of sale of penny stocks, client should ensure delivery of shares to Dalal & Broacha Stock Broking Pvt. Ltd. before the pay-in date.
- Dalal & Broacha Stock Broking Pvt. Ltd. reserves the right to refuse or restrict the execution of any transaction requests of the Client on certain stocks depending on various conditions like volume, value, illiquidity, even though a client may have credit balance or sufficient margin in the trading account or restrictions in Z group/T group or restrictions on ASM/GSM securities appearing in SMS list.

b. Setting up client's exposure limit:

- Exposure limit for each client is determined by the Risk management Department based on Net-worth information, client's financial capacity, prevailing market conditions and Margin deposited by client in the form of funds/securities with the Dalal & Broacha Stock Broking Pvt. Ltd. These limits may be set exchange-wise, segment-wise, & scrip-wise.
- Dalal & Broacha Stock Broking Pvt. Ltd. retains the discretion to set and modify from time to time any clients exposure limit decided as above.
- The limits are determined by Risk Management Department based on the above criteria and payment history of the client in consultation with Sales/Sales trader.
- Whenever, any client has taken over or wants to take exposure in any security, Dalal & Broacha Stock Broking Pvt. Ltd. may call for appropriate margins in the form of early pay-in of shares or funds before or after execution of trades in the Cash segment. In case of any margin shortfall, the clients are told to reduce the position immediately or requested to deposit extra margin to meet the shortfall. Otherwise, Dalal & Broacha Stock Broking Pvt. Ltd. may refuse to trade on behalf of such client in its own discretion.

c. Applicable brokerage rate:

- The applicable brokerage rate is mentioned in this document and any future change in the brokerage rate will communicated to the client.
- The maximum brokerage charge in writing will not exceed the limit as prescribed by SEBI and exchanges.

d. Imposition of penalty / delayed payment charges by either party, Specifying the rate and the period:

- Penalty and other charges levied by Exchanges pertaining to trading of the client shall be recovered from the respective client.
- If there is delay on part of client in satisfying his/her margin obligation or settlement obligations, then, Dalal & Broacha Stock Broking Pvt. Ltd. shall levy interest at the rate of 12% p.a. on such shortage amount for the delayed period on such client. Dalal & Broacha Stock Broking Pvt. Ltd. shall recover such delayed payment charges from the client by debiting the client's account.
- No interest or charges will be paid by Dalal & Broacha Stock Broking Pvt. Ltd. to any client in respect of retention of funds or securities towards meeting future settlement obligations and in respect of running account authorizations.

e. Right to sell clients' securities or close clients' positions, without giving notice to the client, on account of non payment of client's Dues:

We refer to the **SEBI circular No. CIR/HO/MIRSD/DOP/CIR/P/2019/75** on "Handling of Clients" Securities by trading Members/ Clearing Members" **dated June 20, 2019** read in line with the updated FAQ's dated 27th Sep 2019, which will be in effect from 1st October 2019. To view this circular SEBI Circular it has necessitated a change in policy and procedures with respect to retention/ handling of securities and square off policy. We hereby communicate the modification in our existing policies and procedures.

Securities handling/ retention policy:

1) Entire Securities received in settlement payout will be transferred to the client beneficiary owner account(BO), if the total amount outstanding from the client is realized in full by way of receipt of clear funds, considering the future obligation of unsettled transaction and margin payable on the same.
2) In case of partial payment, all the securities shall be retained, however, based on client instruction subject to retention of securities as a collateral for the amount outstanding, excess securities will be transferred to client BO account after applying prevailing hair cut as per scrip category as determined by Dalal & Broacha Stock Broking Pvt. Ltd.
3) (a) Clients securities may be transferred to the CLIENT BENEFICIERY a/c via direct payout or transferred to the " Client Unpaid Securities Account" (CUSA) depending on the discretion of the stock broker. No securities shall be kept in the CUSA beyond 5 days from the date of payout.
   (b) We may, however, at our discretion, transfer the unpaid securities to Client BO account in case the client is having BO account with Dalal & Broacha Stock Broking Pvt. Ltd. and has executed POA of the demat account for transferring securities against obligation, in favour of Dalal & Broacha Stock Broking Pvt. Ltd.

4) In the event of non-payment, within 5 trading days from the date of pay-out, in proportion to the amount not received and after taking into account any amount lying to the credit of the client, it will be the Broker's discretion to either DISPOSE - OFF/SELL the securities. The balance shall be transferred to the Client Beneficiary Account.
5) As the SEBI Circular No.CIR/HO/MIRSD/DOP/CIR/P/2019/75 dated June 20th 2019 read in line with the updated FAQ's dated 27th Sep 2019 mandates liquidation of securities in case of non-payment within 5 working days from the pay-out date, NO PRE-ORDER TRADE CONFIRMATION is required for the same. The Shares lying in the CUSA shall be sold based on RMS policy of Company.
6) The client may want to sell some other securities lying in their respective demat account within the 5 days from the payout instead of the securities lying in the CUSA. In this case the client shall do an EARLYPAYIN of these securities to the "Pool Account" of the Broker and give a written consent duly signed by the Trading Account holder for the same. Only after these securities are disposed-off and the formalities are completed to the satisfaction of Dalal & Broacha Stock Broking Pvt. Ltd., the securities in the CUSA shall be transferred to the "Client Beneficiary Account".
7) It shall be noted that Dalal & Broacha Stock Broking Pvt. Ltd. shall not allow the client to initiate a buy trade as further exposure shall not be allowed if the old debit is not realized in full by way of receipt of clear funds in the bank account of Dalal & Broacha Stock Broking Pvt. Ltd. or by way of realized payout as a result of liquidation by the Trading Member read in line with the para 2(d) of the SEBI Circular ref No.CIR/HO/MIRSD/DOP/CIR/P/2019/75 dated June 20th 2019 and the FAQ dated 27/09/2019 pt 19 page 7.
8) "Client Securities Margin Pledge Account" shall be used for the purpose of holding clients securities for margin purposes. Excess securities (in the form of margin pledge) or any cash equivalent collateral deposited with CC on behalf of client, after adjustment of the 225% of margin liability, need not be unpledged while settling the account.
9) In case there is a shortfall after the selling of securities from the CUSA the client shall be liable to pay the balance.
10) In exceptional scenario, where inter-depository transfer is not available i.e. SGB, G-sec,... the client will have to open an account in the relevant Depository.
11) Securities offered as margin/collateral will remain in the account of the client and can be pledged to Dalal & Broacha Stock Broking Pvt. Ltd. by way of 'margin pledge', created in the Depository system.

f. Shortages in obligations arising out of internal netting of trades:

BSE has a window wherein internal short deliveries can get auctioned as per the normal auction process. Internal short deliveries are not covered by the Auction conducted on the NSE. It is due to this limitation on the NSE we follow the procedure as mentioned below:

- The client may not receive shares on T + 2 in case there is an internal shortage situation within Dalal & Broacha Stock Broking Pvt. Ltd., i.e. the buyer and seller are both Dalal & Broacha Stock Broking Pvt. Ltd.'s clients and seller defaults in delivery due to which the buyer may not receive the shares.
- In case there is an internal shortage in BSE, the exchange conducts an auction through which the shares would be purchased and delivered to the buyer. The seller would be debited at the rate at which the exchange would have purchased these shares. Additionally, brokerage statutory costs and other incidental charges including penalty for non-delivery may be debited to the client. In case, the exchange is unable to purchase these shares, the exchange will inform Dalal & Broacha Stock Broking Pvt. Ltd. of a close out rate, at which the buyer would be allowed credit and the seller would be debited for the same amount. In case of any corporate action for internal shortages, if original trade was executed at cum rate, then Dalal & Broacha Stock Broking Pvt. Ltd. will repurchase the shares at ex-rate in its internal shortage a/c. The amount/quantity of corporate action as applicable will be debited to seller's account and will be credited to buyer's account. In case of security being delisted from trading/unable to buy on account of corporate account, Dalal & Broacha Stock Broking Pvt. Ltd. will close out internal shortage at last traded price/ last traded cum rate price + 10% (credit to buyer and debit to seller)
- In case there is an internal shortage in NSE, Dalal & Broacha Stock Broking Pvt. Ltd. purchases the shares from the normal market and provides the shares to the buyer on receipt of delivery. The defaulting seller would be debited with the rate at which these shares were purchased, including the brokerage statutory charges and other incidental charges including penalty if any. In case of non receipt of delivery to purchase the shares, the buyer would be offered credit at a close out rate applicable on T+4 day + 3% or and the new seller would be debited at the same rate. In case where Dalal & Broacha Stock Broking Pvt. Ltd. is unable to purchase the shares on account of the scrip being in buying circuit, the position would then be closed out on the closing price of the exchange on T+2 at the circuit percentage of 2 days (Maximum up to 20% .) In case of any corporate action for internal shortage if original trade was executed at cum -rate then Dalal & Broacha Stock Broking Pvt. Ltd. will repurchase the share at ex rate in its internal shortage account. The amount/quantity of corporate action, as application will be debited to the seller's a/c and will be credited to the Buyers's account. In case of securities being delisted from trading/unable to buy on account of corporate action, Dalal & Broacha Stock Broking Pvt. Ltd. will close out internal shortage at last traded price/last traded cum rate price + 10% (Credit to buyer & Debit to seller)
- Dalal & Broacha Stock Broking Pvt. Ltd. may also levy charges on the defaulting seller for non-delivery of stocks within the stipulated time.

g. Conditions under which a client may not be allowed to take further position or the broker may close the existing position of the client

Dalal & Broacha Stock Broking Pvt. Ltd. shall have absolute discretion and authority to limit client's volume of business or to close any existing position of a client without giving any prior notice to the client under following mentioned conditions:

- Extreme volatility in the market or in particular scrip or in the F&O/CD/CMD segment.
- There is shortfall in the margin deposited by client with Dalal & Broacha Stock Broking Pvt. Ltd.
- There is insider trading restrictions on the client.
- There are any unforeseen adverse market conditions or any natural calamity affecting the operation of the market.
- There are any restrictions imposed by Exchange or Regulator on the volume of trading outstanding positions of contracts.
- The client is undertaking any illegal trading practice or the client is suspected to be indulging in money laundering activities.
- Dalal & Broacha Stock Broking Pvt. Ltd. has reached its limit in that scrip.
- The client has breached the client-wise limit.
- The client has taken or intends to take new position in a security which is in the banned period.

- Due to abnormal shortfall in the market, if market are closed.

h. Temporarily suspending or closing a client's account based at the Client's request:

- Any client desirous of temporarily suspending his or her trading account has to give such request in writing to the management. After management's approval, further dealing in such client's account will be blocked. Whenever trade has to be resumed in any suspended client account, a request in writing should be made by the client to the management and the management may ask for updated financial information and other details for reactivating such account. After receiving necessary documents, details, etc. and approval from the management, the client account will be reactivated and transaction will be carried out.
- Similarly, any client desirous of closing his/her account permanently is required to inform in writing and the decision in this regard will be taken by the management. After necessary approval from the management, the client code will be deactivated. Only after scrutinizing the compliance requirements and a "no pending queries" confirmation is taken, securities and funds accounts will be settled.

i. Deregistering a Client

Dalal & Broacha Stock Broking Pvt. Ltd. may, in its absolute discretion, decide to deregister a particular client. The illustrative circumstances under which Dalal & Broacha Stock Broking Pvt. Ltd. may deregister a client are given below:

- SEBI or any other regulatory body has passed an order against such client, prohibiting or suspending such client from participating in the securities market.
- Such client has been indicated by a regulatory body or any government enforcement agency in case of market manipulation or insider trading or any other case involving violation of any law, rule, regulation, guideline or circular governing securities market.
- Such client is suspected of indulging in illegal or criminal activities including fraud or money laundering.
- Such client's name appears in the UN list of prohibiting entities or SEBI debarred list.
- Such client's account has been lying dormant for a long time or client is not traceable.
- Such client has declared insolvent or any legal proceedings to declare him/her as such have been intended.
- Such client has been irregular in fulfilling obligations towards margin or settlement dues.
- Such client has a tainted reputation and any business relationship with such clients is likely to tarnish the reputation of Dalal & Broacha Stock Broking Pvt. Ltd. or may act as detriment to Dalal & Broacha Stock Broking Pvt. Ltd.'s prospects.

J. Inactive Client Account:

As per the BSE & NSE circular on “Treatment of Inactive Trading account” dated February 10, 2020, the term “Inactive” refers to such account wherein no trades have been carried out since last 12 (Twelve) months across all Exchanges. Any further trading by “Inactive” client will be allowed only after undertaking sufficient due diligence (including In-person verification) and obtaining updated information related to KYC.

For such accounts marked as inactive, on submission of the necessary information to the KYC department and updation of the same in the Exchange systems and approval by the Exchange, the blocked trading accounts shall be unblocked by the Exchange on T+1 trading day.

Return of client assets:

Dalal & Broacha Stock Broking Pvt. Ltd. shall settled all client’s account on monthly or quarterly basis (as per the client preferences) in the manner prescribed from time to time. In case Dalal & Broacha Stock Broking Pvt. Ltd. is unable to settle the client account due to non-availability of client’s bank account and demat account details and non-traceability of client, Dalal & Broacha Stock Broking Pvt. Ltd. will make all efforts to trace the client to settle their funds and securities lying with Dalal & Broacha Stock Broking Pvt. Ltd..

Further in cases where Dalal & Broacha Stock Broking Pvt. Ltd. is unable to trace such clients in spite of all efforts taken, Dalal & Broacha Stock Broking Pvt. Ltd. will open one separate Client Bank/Client collateral Demat account and immediately set aside the funds and securities of these clients in such account.

In case of receipt of any claims from such clients, Dalal & Broacha Stock Broking Pvt. Ltd. shall settle the accounts after necessary due diligence.

K. KYC complaince by Stock Exchange(s) and Depositorie(s)

- It is informed that 6 KYC attributes i.e. Name, PAN, Address, Mobile Number, Email id and Income Range have been made mandatory. Investors availing custodian services will be additionally required to update the custodian details.
- Thereafter non-compliant trading accounts will be blocked for trading by the Exchange.
- The non-compliant demat accounts will be frozen for debits by Depository Participant or Depository.
- On submission of the necessary information to the stockbroker and updation of the same by the stockbroker in the Exchange systems and approval by the Exchange, the blocked trading accounts shall be unblocked by the Exchange on T+1 trading day.
- The demat account shall be unfreezed once the investor submits the deficient KYC details and the same is captured by the depository participant in the depository system.
- To ensure smooth settlement of trades, the investors are requested to ensure that both the trading and demat accounts are compliant with respect to the KYC requirement.
- The investors are hereby requested to comply with the regulatory guidelines issued by Exchanges and Depositories from time to time with regard to KYC compliance and related requirements.

I agree to comply with the regulatory guidelines issued by exchange(s) and depositorie(s).

I/We have fully understood the above and do hereby sign the same. These policies and procedures may be amended unilaterally by the broker, provided the amendment is informed to me/us as per applicable laws, rules & regulations of Exchange/SEBI. These policies and procedures shall always be read and shall be compulsorily referred to while deciding any dispute or claim between me/us and broker before any regulator or arbitrator or court of law.

First Holder’s Signature

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(Signature of the constituent)